C – Contributions to the Housing Trust Fund

Shall the City amend the Charter to change how the City's annual contributions to the Housing Trust Fund are set, increase funding and expand programs for affordable housing, and extend the Fund to 2058?

YES	◯
NO	◯

This measure requires 50%+1 affirmative votes to pass.

Digest by the Ballot Simplification Council

The Way It Is Now: The City has a Housing Trust Fund (HTF) to support the creation or preservation of affordable housing and affordable home ownership. Every year, the City provides funding to the HTF, and the annual contribution is adjusted up or down based on changes in the City's unrestricted General Fund revenue. Last year, the City contributed $50.8 million to the HTF.

The City may use HTF funds for:

- building, purchasing, and improving affordable housing;
- downpayment assistance loans for households earning up to 120% of Area Median Income (AMI) and for emergency first responders;
- assistance to households earning up to 120% of AMI to improve their housing and avoid housing loss;
- grant programs for specific types of neighborhood improvements; and
- administrative costs.

The Housing Trust Fund that supports these programs is set to expire in 2043.

The Proposal: Proposition C would change how the City's annual contributions to the Housing Trust Fund (HTF) are set, increase funding and expand programs for affordable housing, and extend the Fund's expiration date.

- Starting in 2028, the City's annual contribution would grow based on the greater of either:
  - any increases in local property tax revenue, or
  - the percentage increase in the unrestricted General Fund from the prior year.

The City would increase its contributions to the HTF until the annual contribution meets or exceeds $125 million. After that, annual increases are capped at 3% based on increases in the General Fund.

The City could pause contributions when a projected City deficit exceeds $250 million. This threshold would be adjusted each year based on changes in the General Fund.

The City could also reduce contributions by up to 10% during years when the City may use its Rainy Day Reserve.

- Expand affordable housing programs by:
  - increasing funding to create and preserve more affordable housing;
  - raising the household income limit for downpayment assistance loans from 120% to 200% of AMI, and allow the Board of Supervisors to change that limit by ordinance;
  - replacing the grant program for specific types of neighborhood improvements by authorized spending on affordable housing-related infrastructure such as sidewalks, streets, and utilities;
  - extending the Fund's expiration date from 2043 to 2058.

A "YES" Vote Means: If you vote "yes," you want to amend the Charter to change how the City's annual contributions to the Housing Trust Fund are set, increase funding and expand programs for affordable housing, and extend the Fund to 2058.

A "NO" Vote Means: If you vote "no," you do not want to make these changes.

The above statement is an impartial analysis of this measure. Arguments for and against this measure immediately follow.
The full text begins on page 187. Some of the words used in the ballot digest are explained starting on page 62.

Controller's Statement on "C"

City Controller Greg Wagner has issued the following statement on the fiscal impact of Proposition C:

Should the proposed Charter amendment be approved by the voters, in my opinion, it would have a significant impact on the cost of government of approximately $6 million in additional General Fund costs starting in Fiscal Year 2028-29, growing over time to approximately $60 million annually by Fiscal Year 2034-35.

The proposed Charter amendment is projected to increase the existing Housing Trust Fund (Fund) General Fund spending mandate for affordable housing and extends the mandate by an additional fifteen years from 2043 to 2058. A General Fund spending mandate is a voter-adopted spending requirement that directs the government to appropriate funding for specific purposes in future years without identifying a new funding source. For context, voter-adopted spending requirements currently total approximately $2 billion, or 30%, of the approximately $7 billion General Fund sources. Extending the life of the Housing Trust Fund and increasing contributions as projected would reallocate funds that would otherwise be available in the General Fund.

The proposed Charter amendment modifies the required funding formula to accelerate the growth of the Fund until the annual contribution reaches $125 million, likely in Fiscal Year (FY) 2034-2035, at which point the growth of the fund could slow. For context, in FY2024-25, approximately $50 million was appropriated to the Fund. As compared to projected Fund contributions under current law, the proposed Charter amendment is projected to increase contributions to the fund by approximately $6 million in FY2028-29 and $13 million in FY2029-30. In subsequent years, the General Fund cost of the proposal is projected to grow by an additional $9 million annually, reaching approximately $60 million in additional growth by FY2034-35, resulting in a total expected contribution of $125 million in FY2034-35. Without the Charter amendment, the required funding formula is projected to be approximately $65 million in FY2034-35. The additional $60 million under the proposed modified funding formula represents the additional money the City would be required to appropriate into the Fund in FY2034-35 and subsequent years. The projected costs above do not assume temporary freezes or reductions in the City's annual contribution to the Fund.

The proposed Charter amendment allows the Mayor or the Board of Supervisors to introduce ordinances during the annual budget process to temporarily freeze or reduce the City's annual contributions. If the City projects a budget deficit exceeding $250 million, the annual contribution to the Fund may be temporarily frozen at the then-current amount. If the City is authorized to withdraw funds from the City Rainy Day Reserve, the annual contribution to the Fund may be temporarily reduced by up to 10%.

The fund may be used to (1) create, acquire, or rehabilitate affordable rental and ownership housing, (2) provide down payment loans and housing stabilization for qualified households meeting required income levels, and (3) fund housing-related infrastructure, including streetscape improvements. The Charter amendment removes obsolete language regarding (1) past allocations to the Fund, (2) eliminating the Fund before 2013, (3) how the Controller's Office may determine General Fund Discretionary Revenue, and (4) discretion to reduce Fund contributions based on debt service for SB 2113 Affordable Housing Bonds. Additionally, the proposed Charter amendment eliminates the Complete Neighborhoods Infrastructure Grant Program, which has not been funded since FY2019-20.

This proposed amendment is not in compliance with a non-binding, voter-adopted City policy regarding voter-adopted spending requirements. The policy seeks to limit General Fund spending mandates which reduce General Fund dollars that could otherwise be allocated by the Mayor and the Board of Supervisors in the annual budget process. For context, voter-adopted spending requirements currently total approximately $2 billion, or 30%, of the approximately $7 billion General Fund sources.

Note that the proposed amendment would change the duties of the Controller's Office, which has prepared this statement.

How "C" Got on the Ballot

On July 14, 2026, the Board of Supervisors voted 11 to 0 to place Proposition C on the ballot. The Supervisors voted as follows:

Yes: Chan, Chen, Dorsey, Fielder, Mahmood, Mandelman, Melgar, Sauter, Sherrill, Walton, Wong.

No: None.